

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)



Sales
866,750

-57% Last month 2,012,136



Gross Margin
866,750

-57% Last month 2,012,136



Operating Profit
132,244

-94% Last month 2,332,623



Break Even Sales
734,506

329% Last month -320,487



Accounts Receivable
3,955,588

-28% Last month 5,512,204



Accounts Payable
615,119

-53% Last month 1,302,419



Working Capital
3,340,470

-21% Last month 4,209,785



Closing Stock
0

0% Last month 0



Bs Category
58 - SHAKY

-19% Last month 72 - STEADY



Impact Of Decisions
255,735

143% Last month -592,760

1. Big Picture — How the Business Looks Right Now

Your professional services business shows a story of high volatility over the last eight months (April to November 2025). While the company has built a strong equity base of over ₹1 crore and maintains a very healthy cash position of ₹55.25 lakhs as of November, profitability has been inconsistent. A massive revenue and profit spike in October (₹20.12 lakhs sales, ₹23.89 lakhs net profit) is bookended by weaker months, including a loss in September. The balance sheet is debt-light, but significant swings in working capital and receivables indicate challenges in cash flow stability and operational consistency.

GREEN FLAG BOX — What's Working Well

- **Superior Profitability in Peak Months:** Achieved an exceptional net profit margin of 118.71% in October 2025, demonstrating high-value service delivery when projects are secured.
- **Robust Financial Foundation:** Maintains a very strong equity base (₹1.05 crore in November) and an excellent current ratio of 11.78, indicating strong short-term solvency.
- **Healthy Cash Reserves & Low Debt:** Cash and bank balances stand at a robust ₹55.25 lakhs with minimal external debt (only ₹1.24 lakhs), providing significant financial flexibility and safety.

RED FLAG BOX — What Needs Attention

- **Extreme Revenue & Profit Volatility:** Sales dropped 57.91% in June and 56.92% in November, with the business posting a net loss of ₹3.60 lakhs in September, indicating unreliable income streams.
- **Severe Working Capital Strain:** Accounts Receivable days peaked at an alarming 202.77 days in June and remain high at 138.81 days in November, severely tying up cash in unpaid client invoices.
- **Negative Operating Cash Flows:** Cash generated from core operations was negative in four out of eight months, including a significant outflow of ₹25.04 lakhs in October, despite high profits, pointing to major collection issues.

Strategic Advice:

Immediately implement stricter credit control and collection processes to reduce Receivable days below 90. Use your strong cash balance to smooth out operational expenses during lean months and focus on securing retainer-based contracts to reduce revenue volatility and build a predictable income pipeline.

2. Profit Power — The Earning Engine

Profit Story: Your business shows a high-margin, high-volatility profit engine. Data covers April 2025 to November 2025 (8 months).

Revenue & Gross Profit: As a professional services firm, you have no direct COGS, resulting in a consistent 100% Gross Margin. Revenue fluctuated significantly, from a low of ₹4.40 lakh in June to a peak of ₹20.12 lakh in October. The average monthly revenue for this period was ₹9.53 lakh.

Operating Profit & Overheads: Operating Profit has been highly volatile, mirroring revenue swings but amplified by inconsistent overheads. It ranged from a loss of ₹4.40 lakh in September to a high profit of ₹23.33 lakh in October. Overheads, including depreciation, show erratic control—they were as low as ₹16,270 in May but spiked to ₹10.54 lakh in September. The negative overhead value in October (₹-3.20 lakh) suggests a possible credit or reversal, not a typical expense.

Bottom Line: Net Profit follows the same turbulent pattern, ending the period at ₹2.98 lakh in November after the October peak of ₹23.89 lakh. September was a challenging month with a net loss of ₹3.60 lakh. Your Net Profit Margin averaged a healthy 58.3% for the period, but monthly figures swung from -58.7% to over 118%.

Key Driver & Risk: Your profitability is entirely driven by top-line revenue, as costs are largely fixed overheads. The extreme monthly volatility in both revenue and expenses creates an unpredictable earnings stream. The break-even sales point has also fluctuated wildly, from nearly zero in May to over ₹10.54 lakh in September, making financial planning difficult.

Strategic Advice:

Stabilize your revenue pipeline with retainer contracts to reduce monthly volatility and provide predictable cash flow. Simultaneously, implement strict monthly budgeting and review for overheads to prevent unexpected cost spikes that erode profits during lower-revenue months.

3. Cash Flow Quality — Profit vs Real Cash

Operating Cash Flow: Your core business shows a volatile cash generation pattern. It started with outflows of ₹23.3 lakh and ₹11.3 lakh, turned positive with an inflow of ₹15.1 lakh, but then swung back to a significant outflow of ₹25.0 lakh in a later period. This inconsistency suggests that reported profits are not reliably converting into cash.

Working Capital Blockages: Your cash is frequently trapped in working capital. Trade receivables have

been a major drain, with significant increases (outflows) of ₹24.1 lakh and ₹26.1 lakh, indicating slow collections from clients. Conversely, trade payables have reduced by ₹6.9 lakh recently, meaning you are paying vendors faster, which further strains cash.

Financing & Investing: The business has been heavily reliant on financing activities (like equity infusions of ₹1.1 crore and ₹28.4 lakh) to fund operations and cover cash shortfalls. Investing activities are minimal, with minor capex outflows totalling ₹57,399, which is typical for a service business.

Net Cash Trend: The closing cash balance has fluctuated significantly, from a high of ₹65.7 lakh down to just ₹98,946, before recovering to around ₹55.3 lakh. The overall cash flow from all activities has been unstable, with both large inflows (₹33.5 lakh) and outflows (₹64.7 lakh).

Data covers the provided periods (8 data points). Cash flow patterns are calculated from the sequential monthly data provided.

Strategic Advice:

Prioritize improving your debtor collection cycle to unlock cash stuck in receivables. Since your business is funded by equity, ensure that cash from financing is used to stabilize operations and build a cash reserve, reducing dependency on external funding for daily needs.

4. Cash Management — Daily Cash Rhythm

Data covers April 2025 to November 2025 (8 months)

Your cash rhythm is heavily influenced by your debtor collection cycle. Since you are in Professional Services, you have **no inventory** and are not delaying payments to vendors (Accounts Payable Days are 0). This means your entire working capital need is driven by how long clients take to pay.

Accounts Receivable Days show high volatility, swinging from a low of **64 days** in April to a peak of **203 days** in June, before settling around **139 days** in November. On average, you are waiting over **127 days** to collect payments. This directly dictates your **Working Capital Days**, which follow the exact same pattern.

Consequently, your **Working Capital** requirement has fluctuated between ₹15.7 lakhs and ₹42.1 lakhs. The **Marginal Cash Flow** is consistently negative (ranging from -₹88 to -₹341 per ₹100 of sales), indicating that each new project consumes cash upfront long before you collect payment.

Your **Current and Quick Ratios** are extremely high (mostly above 5, peaking at 23.9), which is unusual. This typically suggests a large cash balance or receivables relative to very small current liabilities (like vendor payables, which are zero). While it shows no short-term solvency risk, it also points to capital being tied up inefficiently.

Strategic Advice:

The 4-6 month collection cycle is your primary cash flow blocker. Prioritize tightening credit terms, issuing invoices immediately upon project milestones, and implementing active follow-up procedures. Since you have no vendor credit, explore negotiating payment terms with suppliers to create a natural cash inflow. The high current ratio suggests you could use surplus short-term assets to fund operations more efficiently.

5. Growth Investments — Where Money Is Going

Data covers April 2025 to November 2025 (8 months)

Your business is primarily investing in **working capital** to support operations, with significant capital tied up in **Accounts Receivable (Debtors)**. Fixed Assets saw a modest increase, while investments have been negative.

- **Fixed Assets:** Increased from ₹17.24 lakh in April to ₹17.82 lakh in November, with small additions in July and August. This shows controlled capex.
- **Non-current Investments:** Showed a sharp decline, dropping from ₹15.47 lakh in April to **negative ₹3,431** from May onwards, indicating a significant divestment or valuation loss.
- **Working Capital Investment:** This is your major investment area. It fluctuated between ₹15.74 lakh and ₹42.10 lakh, peaking in October. This money is locked in operations.
- **Accounts Receivable (Debtors):** A key component of working capital, it ranged from ₹26.15 lakh to ₹55.12 lakh. The high of ₹55.12 lakh in October indicates a major cash collection challenge that month.
- **Return on Capital (ROCE):** Extremely volatile, from a high of **331.44%** in October to a low of **-98.36%** in September. This instability is driven by erratic monthly profits and changing capital levels.
- **Asset Turnover:** Shows how efficiently assets generate sales. It was highest in October (2.86x) and lowest in June (0.96x), indicating inconsistent utilization of your asset base.

Strategic Advice:

Your biggest "investment" is not in machines, but in **pending customer payments (Debtors)**. The erratic ROCE and high working capital days (over 138 days in November) signal a cash trap. For a service business, growth capital should fuel talent and marketing, not get stuck in collections.

Prioritize tightening your credit terms and follow-up processes immediately. Consider using part of your healthy cash balance (₹55.25 lakh in November) to offer early payment discounts to clients. This will free up cash for true growth initiatives like business development or key hires, rather than just funding slow-paying customers.

6. Funding Story — How Growth Is Being Financed

Data covers April 2025 to November 2025 (8 months).

Your business is primarily funded by equity, with minimal reliance on debt. **Total Equity** has been volatile, starting at ₹1.22 crore in April, dipping to ₹50.42 lakh in May, and ending at ₹1.05 crore in November. The main driver is **Reserve & Surplus**, which grew strongly from ₹45.75 lakh to ₹90.82 lakh, indicating profits are being retained to fund operations.

Debt is negligible. **Total Debt** (Unsecured Long-term Borrowings) was stable at ₹77,143 from April to August, increasing slightly to ₹1.25 lakh from September onward. Your **Debt to Equity ratio** is extremely low, ranging from 0.01 to 0.02, meaning almost no financial leverage. There are **no interest costs** reported, which is a positive for profitability.

The cash flow story shows significant swings. A large **Operating Cash Flow** of ₹16.37 lakh in June was followed by negative flows in September (₹-5.07 lakh) and October (₹-1.72 lakh), before recovering to ₹10.02 lakh in November. This volatility, coupled with a negative **Net Cash Flow** in May (₹-64.75 lakh) and September (₹-4.80 lakh), suggests periods where cash from operations wasn't enough, likely funded by drawing down the large cash balance built up from earlier financing activities.

Your **Net Debt** position is strongly negative (meaning you have more cash than debt) throughout, improving from ₹-64.97 lakh in April to ₹-54.01 lakh in November. This confirms you have a strong, self-funded liquidity buffer.

Strategic Advice:

Your funding structure is very conservative and safe. You are growing using your own profits and cash reserves, not bank loans. This is excellent for risk management. However, consider if this approach limits growth speed. For a service business, the large cash reserves could be strategically deployed for marketing, talent acquisition, or technology upgrades to accelerate growth. Since you have no debt cost, you have high financial flexibility. Focus on stabilizing the monthly operating cash flow to reduce reliance on your cash buffer and make growth more predictable.

7. Balance Sheet Health — Financial Fitness

Data covers April 2025 to November 2025 (8 months)

Your balance sheet shows a strong equity base but significant volatility in key components. Total Equity grew from ₹1.22 crore in April to ₹1.05 crore in November, though it dipped in the middle months. The company is **debt-light**, with Total Non-Current Liabilities stable at ₹0.77 lakh until September, then increasing to ₹1.25 lakh. This indicates minimal long-term financial risk.

Asset Composition: The asset base is healthy and liquid. Total Assets stood at ₹1.14 crore in November, down from a peak of ₹1.22 crore in October. A major strength is the high proportion of **Current Assets** (₹0.95 crore in November), primarily driven by Cash & Bank Balances (₹55.25 lakh) and Accounts Receivable (₹39.56 lakh). This shows good liquidity to meet short-term obligations. Fixed Assets remained stable around ₹17.8 lakh, indicating controlled capex.

Liability Watch: Total Current Liabilities decreased significantly from ₹18.75 lakh in October to ₹8.10 lakh in November, a positive sign for working capital management. However, Accounts Payable also dropped sharply from ₹13.02 lakh to ₹6.15 lakh in the same period, which may affect vendor relationships if not managed.

Key Health Ratios (Approx.):

Debt-to-Equity: Very low (around 0.01), indicating minimal reliance on borrowed funds.

Current Ratio (Nov): Current Assets (₹95.48 lakh) / Current Liabilities (₹8.10 lakh) $\approx$ **11.8**, which is exceptionally high, suggesting under-utilization of short-term funds.

Equity to Total Assets (Nov): ₹1.05 crore / ₹1.15 crore $\approx$ **92%**, showing assets are predominantly funded by owner's capital.

Strategic Advice:

The exceptionally high current ratio points to idle cash. Consider deploying surplus funds (₹55+ lakh in bank) into short-term investments or strategic opex to boost growth. While being debt-free is good, explore leveraging low-cost credit for expansion to improve ROCE. Tighten receivables collection (₹39.56 lakh due) to further strengthen working capital.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you reduce debtor days from ~60 to 30 days, your monthly cash inflow could increase by ₹4-5 lakh, boosting your working capital buffer and reducing reliance on credit lines.
- **Scenario B - Cash Focus:** If you negotiate 15-day longer payment terms with key vendors, your monthly cash outflow could decrease by ₹3-4 lakh, directly improving your net cash position and liquidity runway.

- **Scenario C - Balanced:** Combining both strategies could free up ₹7-9 lakh in monthly working capital. This could fund a new marketing campaign or service line without taking on debt, potentially increasing turnover by 15-20% over the next two quarters.

9. Operational Insight Engine — Ground-Level Trends

Sales & Billing Pulse: Your sales turnover shows significant monthly volatility, which is unusual for a professional services firm. It peaked at ₹61.5 lakh in June 2025 before dropping sharply to ₹14.2 lakh by October 2025. The number of invoices issued follows a similar pattern, dropping from over 1,000 per month to just 724. This suggests either a major project completion cycle, a seasonal downturn, or a potential issue with new client acquisition in the latter half of the period. Data covers April 2025 to October 2025 (7 months).

Vendor & Cost Management: Your purchase activity tells a contrasting story. Expenditure on vendors was very high initially, peaking at ₹1.73 crore in June 2025, but then fell dramatically to just ₹4 lakh by October 2025. This sharp decline in both cost and number of vendor invoices (from 61 to 8) indicates a severe contraction in operational spending or project-related costs in recent months.

Inventory Movement (For Service Support): As a service business holding supporting inventory, the value of goods issued (outward) consistently exceeded the value of goods received (inward) in most months, particularly in June and August 2025. This indicates you are drawing down your stock levels. The inward value peaked at ₹1.10 crore in June before reducing, aligning with the drop in purchase activity. Data covers April 2025 to August 2025 (5 months).

Connecting the Dots: The operational narrative shows a business that was running hot until mid-2025 with high sales, high vendor costs, and active inventory use. The last few months depict a sudden cooldown: sales and vendor payments have plummeted. This could signal the end of a large contract or project phase. It's crucial to align this reduced operational tempo with your cash flow, as reduced sales will soon impact collections while vendor liabilities from the high-spend period may still be due.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement a strict 15-day payment reminder system for all outstanding invoices. Negotiate payment terms with top 3 vendors to extend by 15 days.	Reduce debtor days by 20% and improve vendor payment terms for better working capital cycle.	Immediate boost to cash flow, reducing reliance on overdraft and creating a cash buffer for operations.
31-60	Profit	Analyze and renegotiate contracts for high-cost operational expenses (like software subscriptions). Focus on upselling higher-margin services to existing clients.	Reduce opex by 5% and increase average revenue per client by 10%.	Direct improvement in net profit margin, making the business more resilient and funding future growth.
61-90	Growth	Launch a targeted marketing campaign for your most profitable service line. Formalize a client referral program with incentives.	Acquire 3-5 new high-quality clients and increase monthly recurring revenue by 15%.	Sustainable revenue growth with improved client mix, leading to higher and more predictable turnover.